

**SUBSTITUTE FOR
SENATE BILL NO. 855**

A bill to make appropriations for the department of environment, Great Lakes, and energy for the fiscal year ending September 30, 2027; and to provide for the expenditure of the appropriations.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

PART 1

LINE-ITEM APPROPRIATIONS

Sec. 101. There is appropriated for the department of environment, Great Lakes, and energy for the fiscal year ending September 30, 2027, from the following funds:

**DEPARTMENT OF ENVIRONMENT, GREAT LAKES, AND
ENERGY**

APPROPRIATION SUMMARY



1	Full-time equated unclassified positions	6.0	
2	Full-time equated classified positions	1,631.0	
3	GROSS APPROPRIATION		\$ 945,017,200
4	Appropriated from:		
5	Interdepartmental grant revenues:		
6	Total interdepartmental grants and		
7	intradepartmental transfers		4,237,600
8	ADJUSTED GROSS APPROPRIATION		\$ 940,779,600
9	Federal revenues:		
10	Total federal revenues		464,743,400
11	Special revenue funds:		
12	Total local revenues		0
13	Total private revenues		1,892,500
14	Total other state restricted revenues		362,305,500
15	State general fund/general purpose		\$ 111,838,200
16	Sec. 102. DEPARTMENTAL ADMINISTRATION AND		
17	SUPPORT		
18	Full-time equated unclassified positions	6.0	
19	Full-time equated classified positions	106.0	
20	Unclassified salaries--FTE positions	6.0	\$ 1,022,500
21	Accounting service center		1,596,800
22	Administrative hearings officers		906,600
23	Environmental investigations--FTEs	12.0	2,507,700
24	Environmental support--FTEs	56.0	10,072,500
25	Executive direction--FTEs	20.0	4,506,400
26	Facilities management		1,200,000
27	Financial support--FTEs	18.0	12,928,600
28	Michigan geological survey		400,000

1	Property management	11,658,700
2	GROSS APPROPRIATION	\$ 46,799,800
3	Appropriated from:	
4	Interdepartmental grant revenues:	
5	IDG from Michigan department of state police	91,300
6	IDG from state transportation department	139,300
7	Federal revenues:	
8	Federal funds	766,600
9	Special revenue funds:	
10	Private funds	1,200,000
11	Air emissions fees	1,072,300
12	Aquatic nuisance control fund	71,900
13	Campground fund	27,100
14	Cleanup and redevelopment fund	4,681,000
15	Coal ash care fund	19,200
16	Electronic waste recycling fund	24,200
17	Environmental education fund	239,900
18	Environmental pollution prevention fund	384,900
19	Fees and collections	18,000
20	Financial instruments	11,517,700
21	Great Lakes protection fund	550,500
22	Groundwater discharge permit fees	153,000
23	Infrastructure construction fund	3,800
24	Laboratory services fees	681,600
25	Land and water permit fees	217,700
26	Medical waste emergency response fund	32,800
27	Metallic mining surveillance fee revenue	5,300
28	Mineral well regulatory fee revenue	10,400



1	Nonferrous metallic mineral surveillance		15,500
2	NPDES fees		309,400
3	Oil and gas regulatory fund		449,100
4	Orphan well fund		16,100
5	Public swimming pool fund		54,200
6	Public utility assessments		212,500
7	Public water supply fees		391,300
8	Refined petroleum fund		2,824,000
9	Renew Michigan fund		5,868,100
10	Sand extraction fee revenue		5,300
11	Scrap tire regulatory fund		373,300
12	Septage waste program fund		44,800
13	Settlement funds		2,000,400
14	Sewage sludge land application fees		66,500
15	Soil erosion and sedimentation control training		
16	fund		10,400
17	Solid waste management fund - staff account		545,800
18	Stormwater permit fees		159,500
19	Technologically enhanced naturally occurring		
20	radioactive material		54,800
21	Underground storage tank cleanup fund		268,200
22	Wastewater operator training fees		42,100
23	Water quality protection fund		7,100
24	Water use reporting fees		21,700
25	State general fund/general purpose	\$	11,151,200
26	Sec. 103. WATER RESOURCES DIVISION		
27	Full-time equated classified positions	403.0	
28	Aquatic nuisance control program--FTEs	6.0 \$	1,009,600



1	Federal - Great Lakes remedial action plan		
2	grants		583,800
3	Fish contaminant monitoring		316,100
4	Great Lakes restoration initiative--FTEs	9.0	11,319,500
5	Nonpoint source pollution prevention and		
6	control project program		4,083,300
7	Technology advancements for water monitoring		500,000
8	Water quality programs--FTEs	223.0	37,069,000
9	Water quality protection grants		100,000
10	Water resource programs--FTEs	165.0	28,620,100
11	Watershed council grants		600,000
12	GROSS APPROPRIATION	\$	84,201,400
13	Appropriated from:		
14	Interdepartmental grant revenues:		
15	IDG from state transportation department		2,086,300
16	Federal revenues:		
17	Federal funds		35,360,900
18	Special revenue funds:		
19	Aquatic nuisance control fund		1,009,600
20	Environmental response fund		590,000
21	Groundwater discharge permit fees		2,276,700
22	Infrastructure construction fund		52,400
23	Land and water permit fees		4,399,500
24	NPDES fees		4,591,600
25	Refined petroleum fund		456,000
26	Sewage sludge land application fees		929,700
27	Soil erosion and sedimentation control training		
28	fund		143,500

1	Stormwater permit fees		2,391,300
2	Wastewater operator training fees		317,800
3	Water pollution control revolving fund		152,500
4	Water quality protection fund		100,000
5	Water use reporting fees		0
6	State general fund/general purpose	\$	29,343,600
7	Sec. 104. AIR QUALITY DIVISION		
8	Full-time equated classified positions	225.0	
9	Air quality programs--FTEs	225.0	\$ 39,223,600
10	GROSS APPROPRIATION	\$	39,223,600
11	Appropriated from:		
12	Federal revenues:		
13	Federal funds		7,855,500
14	Special revenue funds:		
15	Air emissions fees		11,417,800
16	Asbestos inspection fund		2,017,300
17	Fees and collections		214,300
18	Oil and gas regulatory fund		148,700
19	Public utility assessments		150,000
20	Refined petroleum fund		2,148,800
21	State general fund/general purpose	\$	15,271,200
22	Sec. 105. REMEDIATION AND REDEVELOPMENT DIVISION		
23	Full-time equated classified positions	329.0	
24	Contaminated site remediation and redevelopment		
25	programs--FTEs	329.0	\$ 86,837,700
26	Emergency cleanup actions		2,000,000
27	Environmental cleanup and redevelopment program		44,800,000
28	Superfund cleanup		9,000,000



1	GROSS APPROPRIATION		\$	142,637,700
2	Appropriated from:			
3	Federal revenues:			
4	Federal funds			16,769,200
5	Special revenue funds:			
6	Cleanup and redevelopment fund			73,076,100
7	Environmental response fund			1,442,100
8	Laboratory services fees			14,486,300
9	Public water supply fees			334,000
10	Refined petroleum fund			34,135,400
11	State brownfield redevelopment fund			2,100,000
12	State general fund/general purpose		\$	294,600
13	Sec. 106. UNDERGROUND STORAGE TANK AUTHORITY			
14	Full-time equated classified positions	12.0		
15	Underground storage tank cleanup program--FTEs	12.0	\$	32,156,600
16	GROSS APPROPRIATION		\$	32,156,600
17	Appropriated from:			
18	Special revenue funds:			
19	Underground storage tank cleanup fund			32,156,600
20	State general fund/general purpose		\$	0
21	Sec. 107. RENEWING MICHIGAN'S ENVIRONMENT			
22	Full-time equated classified positions	163.0		
23	Information management--FTEs	22.0	\$	6,884,200
24	Renew Michigan program--FTEs	141.0		70,982,300
25	GROSS APPROPRIATION		\$	77,866,500
26	Appropriated from:			
27	Interdepartmental grant revenues:			
28	IDG from Michigan department of state police			8,800

1	IDG from state transportation department	13,600
2	Federal revenues:	
3	Federal funds	5,800
4	Special revenue funds:	
5	Air emissions fees	93,000
6	Aquatic nuisance control fund	7,000
7	Campground fund	2,600
8	Cleanup and redevelopment fund	244,900
9	Coal ash care fund	1,900
10	Electronic waste recycling fund	2,300
11	Environmental pollution prevention fund	28,900
12	Fees and collections	1,800
13	Financial instruments	8,800
14	Great Lakes protection fund	3,600
15	Groundwater discharge permit fees	14,900
16	Infrastructure construction fund	400
17	Laboratory services fees	55,700
18	Land and water permit fees	21,200
19	Medical waste emergency response fund	3,200
20	Metallic mining surveillance fee revenue	500
21	Mineral well regulatory fee revenue	1,000
22	Nonferrous metallic mineral surveillance	1,500
23	NPDES fees	29,600
24	Oil and gas regulatory fund	43,300
25	Orphan well fund	1,500
26	Public swimming pool fund	5,300
27	Public utility assessments	18,900
28	Public water supply fees	37,600

1	Refined petroleum fund	248,100
2	Renew Michigan fund	71,482,600
3	Sand extraction fee revenue	500
4	Scrap tire regulatory fund	36,500
5	Septage waste program fund	4,300
6	Sewage sludge land application fees	6,400
7	Soil erosion and sedimentation control training	
8	fund	1,000
9	Solid waste management fund - staff account	46,400
10	Stormwater permit fees	15,500
11	Technologically enhanced naturally occurring	
12	radioactive material	5,400
13	Underground storage tank cleanup fund	26,100
14	Wastewater operator training fees	4,100
15	Water quality protection fund	700
16	Water use reporting fees	2,100
17	State general fund/general purpose	\$ 5,329,200
18	Sec. 108. INFORMATION TECHNOLOGY	
19	Information technology services and projects	\$ 10,527,400
20	GROSS APPROPRIATION	\$ 10,527,400
21	Appropriated from:	
22	Interdepartmental grant revenues:	
23	IDG from Michigan department of state police	24,800
24	IDG from state transportation department	38,000
25	Federal revenues:	
26	Federal funds	2,079,300
27	Special revenue funds:	
28	Air emissions fees	254,900

1	Aquatic nuisance control fund	19,600
2	Campground fund	7,500
3	Cleanup and redevelopment fund	1,319,500
4	Coal ash care fund	5,200
5	Electronic waste recycling fund	6,600
6	Environmental pollution prevention fund	81,600
7	Fees and collections	4,900
8	Financial instruments	853,500
9	Great Lakes protection fund	10,000
10	Groundwater discharge permit fees	41,700
11	Infrastructure construction fund	1,000
12	Laboratory services fees	155,000
13	Land and water permit fees	59,600
14	Medical waste emergency response fund	9,000
15	Metallic mining surveillance fee revenue	1,400
16	Mineral well regulatory fee revenue	2,800
17	Nonferrous metallic mineral surveillance	4,200
18	NPDES fees	83,300
19	Oil and gas regulatory fund	121,500
20	Orphan well fund	4,400
21	Public swimming pool fund	14,700
22	Public utility assessments	52,800
23	Public water supply fees	105,600
24	Refined petroleum fund	891,300
25	Renew Michigan fund	1,460,200
26	Sand extraction fee revenue	1,400
27	Scrap tire regulatory fund	102,000
28	Septage waste program fund	12,200

1	Sewage sludge land application fees	18,100
2	Soil erosion and sedimentation control training	
3	fund	2,800
4	Solid waste management fund - staff account	124,900
5	Stormwater permit fees	43,700
6	Technologically enhanced naturally occurring	
7	radioactive material	15,000
8	Underground storage tank cleanup fund	73,200
9	Wastewater operator training fees	11,500
10	Water pollution control revolving fund	33,300
11	Water quality protection fund	2,000
12	Water use reporting fees	6,000
13	State general fund/general purpose	\$ 2,367,400
14	Sec. 109. DRINKING WATER AND ENVIRONMENTAL	
15	HEALTH	
16	Full-time equated classified positions	160.0
17	Drinking water and environmental health--FTEs	160.0 \$ 42,393,900
18	GROSS APPROPRIATION	\$ 42,393,900
19	Appropriated from:	
20	Federal revenues:	
21	Federal funds	13,804,000
22	Special revenue funds:	
23	Campground fund	388,800
24	Fees and collections	34,700
25	Public swimming pool fund	766,100
26	Public water supply fees	6,577,000
27	Refined petroleum fund	765,500
28	Septage waste program fund	838,500

1	Wastewater operator training fees		275,000
2	State general fund/general purpose	\$	18,944,300
3	Sec. 110. MATERIALS MANAGEMENT DIVISION		
4	Full-time equated classified positions	133.0	
5	Energy programs-- FTEs	13.0	\$ 6,316,300
6	Material management programs-- FTEs	120.0	29,782,300
7	GROSS APPROPRIATION	\$	36,098,600
8	Appropriated from:		
9	Interdepartmental grant revenues:		
10	IDG from Michigan department of state police		1,611,700
11	Federal revenues:		
12	Federal funds		7,390,400
13	Special revenue funds:		
14	Private funds		652,500
15	Cleanup and redevelopment fund		3,905,300
16	Coal ash care fund		268,500
17	Community pollution prevention fund		1,250,000
18	Electronic waste recycling fund		337,000
19	Energy efficiency and renewable energy		
20	revolving loan fund		250,100
21	Environmental pollution prevention fund		4,237,700
22	Medical waste emergency response fund		460,800
23	Public utility assessments		1,815,400
24	Retired engineers technical assistance program		
25	fund		491,200
26	Scrap tire regulatory fund		5,668,600
27	Small business pollution prevention revolving		
28	loan fund		134,400

1	Solid waste management fund - staff account		6,307,500
2	Technologically enhanced naturally occurring		
3	radioactive material		467,200
4	State general fund/general purpose	\$	850,300
5	Sec. 111. GEOLOGIC RESOURCES MANAGEMENT DIVISION		
6	Full-time equated classified positions	73.0	
7	Geologic resources management--FTEs	73.0 \$	21,706,200
8	GROSS APPROPRIATION	\$	21,706,200
9	Appropriated from:		
10	Interdepartmental grant revenues:		
11	IDG from department of licensing and regulatory		
12	affairs		223,800
13	Federal revenues:		
14	Federal funds		155,200
15	Infrastructure investment and jobs act fund		5,155,400
16	Special revenue funds:		
17	Private funds		40,000
18	Aquifer protection revolving fund		520,000
19	Metallic mining surveillance fee revenue		92,500
20	Mineral well regulatory fee revenue		219,200
21	Native copper mine fund		50,000
22	Nonferrous metallic mineral surveillance		389,600
23	Oil and gas regulatory fund		4,002,900
24	Orphan well fund		2,357,100
25	Sand extraction fee revenue		91,000
26	Water use reporting fees		353,200
27	State general fund/general purpose	\$	8,056,300
28	Sec. 112. WATER INFRASTRUCTURE		

1	Full-time equated classified positions	27.0		
2	Municipal assistance--FTEs	27.0	\$	6,804,200
3	Lead service line replacement			9,601,300
4	Water state revolving funds			390,000,000
5	GROSS APPROPRIATION		\$	406,405,500
6	Appropriated from:			
7	Federal revenues:			
8	Federal funds			105,401,100
9	Infrastructure investment and jobs act fund			270,000,000
10	Special revenue funds:			
11	Revolving loan revenue bonds			15,000,000
12	Water pollution control revolving fund			774,300
13	State general fund/general purpose		\$	15,230,100
14	Sec. 113. ONE-TIME APPROPRIATIONS			
15	Geothermal energy network revolving loan fund			3,000,000
16	Local infrastructure preparedness and			
17	protection			2,000,000
18	GROSS APPROPRIATION		\$	5,000,000
19	Appropriated from:			
20	State general fund/general purpose		\$	5,000,000

PART 2

PROVISIONS CONCERNING APPROPRIATIONS

FOR FISCAL YEAR 2026-2027

GENERAL SECTIONS

Sec. 201. In accordance with section 30 of article IX of the state constitution of 1963, for the fiscal year ending September 30, 2027, total state spending under part 1 from state resources is \$474,143,700.00 and state spending under part 1 from state sources



to be paid to local units of government is \$20,433,300.00. The following itemized statement identifies appropriations from which spending to local units of government will occur:

**DEPARTMENT OF ENVIRONMENT, GREAT LAKES, AND
ENERGY**

Brownfield grants	\$	1,000,000
Drinking water and environmental health		8,486,000
Emergency cleanup actions		116,000
Energy programs		460,000
Lead service line replacement		9,601,300
Material management programs		1,270,000
Technology advancements for water monitoring		500,000
TOTAL	\$	20,433,300

Sec. 202. The appropriations under this part and part 1 are subject to the management and budget act, 1984 PA 431, MCL 18.1101 to 18.1594.

Sec. 203. As used in this part and part 1:

(a) "Department" means the department of environment, Great Lakes, and energy.

(b) "Director" means the director of the department.

(c) "FTE" means full-time equated.

(d) "IDG" means interdepartmental grant.

(e) "NPDES" means the national pollutant discharge elimination system.

(f) "Standard report recipients" means the senate appropriations subcommittee on environment, Great Lakes, and energy; the house appropriations subcommittee on environment, Great Lakes, and energy; the senate and house fiscal agencies; the senate and house policy offices; and the state budget office.



1 Sec. 204. The department or agency shall use the internet to
2 fulfill the reporting requirements of this part and shall make each
3 report readily accessible to the public and conspicuously post each
4 required report in a single archivable location on the department's
5 or agency's Michigan.gov website not later than the due date
6 required for each report. In addition to placing all reports
7 required in the current fiscal year on the department's or agency's
8 website, the department or agency shall maintain on its website all
9 reports placed on the website from previous fiscal years posted by
10 fiscal year in the same single archivable location. The department
11 or agency shall also transmit all required reports for the current
12 fiscal year to the standard recipients and any other required
13 recipients by email.

14 Sec. 205. To the extent permissible under section 261 of the
15 management and budget act, 1984 PA 431, MCL 18.1261, all of the
16 following apply to the expenditure of funds appropriated in part 1:

17 (a) The funds must not be used for the purchase of foreign
18 goods or services, or both, if competitively priced and of
19 comparable quality American goods or services, or both, are
20 available.

21 (b) Preference must be given to goods or services, or both,
22 manufactured or provided by Michigan businesses, if they are
23 competitively priced and of comparable quality.

24 (c) Preference must be given to goods or services, or both,
25 that are manufactured or provided by Michigan businesses owned and
26 operated by veterans, if they are competitively priced and of
27 comparable quality.

28 Sec. 206. The department shall not take disciplinary action
29 against an employee of the department for communicating with a



1 member of the legislature or legislative staff, unless the
2 communication is prohibited by law and the department is exercising
3 its authority as provided by law.

4 Sec. 207. Consistent with section 217 of the management and
5 budget act, 1984 PA 431, MCL 18.1217, each department and agency
6 receiving appropriations in part 1 shall prepare a report on out-
7 of-state travel expenses not later than January 1. The report must
8 list travel by classified and unclassified employees outside of
9 this state in the previous fiscal year that was funded in whole or
10 in part with funds appropriated in the department's or agency's
11 budget. The department shall submit the report to the standard
12 report recipients and to the house and senate appropriations
13 committees. The report must include all of the following
14 information:

15 (a) The dates of each travel occurrence.

16 (b) The total transportation and related expenses of each
17 travel occurrence and the proportions funded with state general
18 fund/general purpose revenues, state restricted revenues, federal
19 revenues, and other revenues.

20 Sec. 209. Not later than December 15, the state budget office
21 shall prepare and submit a report that provides estimates of the
22 total general fund/general purpose appropriation lapses at the
23 close of the previous fiscal year. The report must summarize the
24 projected year-end general fund/general purpose appropriation
25 lapses by major departmental program or program areas. The state
26 budget office shall submit the report to the standard report
27 recipients and to the chairpersons of the senate and house
28 appropriations committees.

29 Sec. 210. (1) In addition to the funds appropriated in part 1,



1 there is appropriated an amount not to exceed \$100,000,000.00 for
2 federal contingency authorization. Amounts appropriated under this
3 subsection are not available for expenditure until they have been
4 transferred to another line item in part 1 under section 393(2) of
5 the management and budget act, 1984 PA 431, MCL 18.1393.

6 (2) In addition to the funds appropriated in part 1, there is
7 appropriated an amount not to exceed \$3,000,000.00 for state
8 restricted contingency authorization. Amounts appropriated under
9 this subsection are not available for expenditure until they have
10 been transferred to another line item in part 1 under section
11 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

12 (3) In addition to the funds appropriated in part 1, there is
13 appropriated an amount not to exceed \$10,000,000.00 for private
14 contingency authorization. Amounts appropriated under this
15 subsection are not available for expenditure until they have been
16 transferred to another line item in part 1 under section 393(2) of
17 the management and budget act, 1984 PA 431, MCL 18.1393.

18 Sec. 211. (1) The department shall cooperate with the
19 department of technology, management, and budget to maintain a
20 searchable website accessible by the public at no cost that
21 includes, but is not limited to, all of the following for the
22 department:

23 (a) Fiscal year-to-date expenditures by category.

24 (b) Fiscal year-to-date expenditures by appropriation unit.

25 (c) Fiscal year-to-date payments to a selected vendor,
26 including the vendor name, payment date, payment amount, and
27 payment description.

28 (2) The department shall cooperate with the department of
29 technology, management, and budget to update the searchable website



1 on a quarterly basis.

2 Sec. 212. Not later than 14 days after the release of the
3 executive budget recommendation, the department shall cooperate
4 with the state budget office to provide an annual report on
5 estimated state restricted fund balances, state restricted fund
6 projected revenues, and state restricted fund expenditures for the
7 previous 2 fiscal years. The report must be submitted to the
8 standard report recipients and to the chairpersons of the senate
9 and house appropriations committees.

10 Sec. 214. (1) Funds appropriated in part 1 must not be used to
11 restrict or impede a marginalized community's access to government
12 resources, programs, or facilities.

13 (2) From the funds appropriated in part 1, local governments
14 shall report any action or policy that attempts to restrict or
15 interfere with the duties of a local health officer.

16 Sec. 215. To the extent permissible under the management and
17 budget act, 1984 PA 431, MCL 18.1101 to 18.1594, the director of
18 each department or agency receiving appropriations in part 1 shall
19 take all reasonable steps to ensure geographically-disadvantaged
20 business enterprises compete for and perform contracts to provide
21 services or supplies, or both. The director shall strongly
22 encourage firms with which the department contracts to subcontract
23 with certified geographically-disadvantaged business enterprises
24 for services, supplies, or both. As used in this section,
25 "geographically-disadvantaged business enterprises" means that term
26 as defined in Executive Directive 2023-1.

27 Sec. 216. On a quarterly basis, the department or agency
28 receiving appropriations in part 1 shall report on the number of
29 full-time equated positions in pay status by civil service



1 classification, including a comparison by line item of the number
2 of full-time equated positions authorized from funds appropriated
3 in part 1 to the actual number of full-time equated positions
4 employed by the department at the end of the reporting period. The
5 report must be submitted to the senate and house appropriations
6 committees and to the standard report recipients.

7 Sec. 217. (1) The department shall maximize utilization of its
8 in-person state workforce. The department shall prioritize
9 occupancy utilization of office space for each division within the
10 department. Employees with job responsibilities that require the
11 employees to serve in their capacities outside of an office shall
12 be monitored each pay period to ensure all work hours reported on
13 the timesheet were actually worked.

14 (2) The department shall comply with requirements set by the
15 office of state employer to meet the in-person and vacancy rate
16 objectives outlined by the office of state employer.

17 (3) The department shall adhere to the rules and regulations
18 of civil service, which state that the standard biweekly work
19 period for a full-time employee in the classified service is the
20 equivalent of 80 hours of work. The department shall establish
21 policies and processes to ensure all employees are working their
22 jobs during agreed-upon business hours.

23 Sec. 219. The department shall receive and retain copies of
24 all reports funded from appropriations in part 1. The department
25 shall follow federal and state guidelines for short-term and long-
26 term retention of records. The department may electronically retain
27 copies of reports unless otherwise required by federal and state
28 law and guidelines.

29 Sec. 220. Not later than April 1, the department shall report



1 on each specific policy change made to implement a public act
2 affecting the department that took effect during the previous
3 calendar year. The report must include reference to the public act
4 that necessitates the policy change. The department shall submit
5 the report to the standard report recipients, to the senate and
6 house appropriations committees, and to the joint committee on
7 administrative rules.

8 Sec. 221. If the state administrative board, acting under
9 section 3 of 1921 PA 2, MCL 17.3, transfers funds from an amount
10 appropriated under part 1, the legislature may, by a concurrent
11 resolution adopted by a majority of the members elected to and
12 serving in each house, inter-transfer funds within part 1 for the
13 particular department, board, commission, officer, or institution.

14 Sec. 222. To the extent possible, the department shall not
15 expend appropriations in part 1 until all existing authorized work
16 project funds available for the same purposes are exhausted.

17 Sec. 223. The state budget director shall take steps to ensure
18 that all state fiscal recovery funds allocated to this state under
19 the American rescue plan act of 2021, Public Law 117-2, are
20 expended by December 31, 2026, as required by law. Any state fiscal
21 recovery funds that would otherwise lapse after September 30, 2026,
22 are automatically reappropriated for the same purpose as originally
23 authorized and available for expenditure through December 31, 2026,
24 and any subsequent financial close-out period.

25 Sec. 224. (1) The state budget director shall take steps to
26 ensure that all state fiscal recovery funds allocated to this state
27 under the American rescue plan act of 2021, Public Law 117-2, are
28 expended by December 31, 2026, as required by law. The state budget
29 director may reallocate appropriated funds for the purpose of fully



1 utilizing state fiscal recovery funds that are in jeopardy of not
2 meeting the expenditure deadline for reasons that may include, but
3 are not limited to, completed projects coming in under budget or
4 funds unable to be fully used by subrecipients. The state budget
5 director shall reallocate any of the funds reallocated under this
6 subsection to the programs or purposes specified in this section.
7 Any funds reallocated are unappropriated and immediately
8 reappropriated for the following purposes:

9 (a) To reclassify general fund/general purpose appropriations
10 for payroll and covered benefits for eligible public health and
11 safety employees at the department of corrections.

12 (b) To reclassify general fund/general purpose appropriations
13 for payroll and covered benefits for eligible public health and
14 safety employees at the department of state police.

15 (2) All applicable guidance, implementation, and reporting
16 provisions of the American rescue plan act of 2021, Public Law 117-
17 2, must be followed for state fiscal recovery funds reallocated and
18 reappropriated under subsection (1).

19 (3) The state budget director shall notify the senate and
20 house appropriations committees not later than 1 business day after
21 making any reallocations under subsection (1). The notification
22 must include the authorized program under which funds were
23 originally appropriated, the amount of the reallocation, the
24 program, or programs, or purpose, and the department to which the
25 funds are being reallocated under subsection (1), and the amount
26 reallocated to each program or purpose.

27 Sec. 225. The department must provide an annual report to the
28 standard report recipients detailing significant federal policy
29 changes that do, or are expected to significantly impact the



1 operations of the department, including reductions in federal
2 revenue or changes that are likely to lead to a reduction in the
3 department's ability to safeguard the health or welfare of the
4 public.

5 Sec. 226. (1) Not later than 30 days after the effective date
6 of this act, the house and senate shall provide to the state budget
7 office a jointly agreed-upon list of legislatively directed
8 spending items funded in part 1 as defined in 2025 PA 32 and 2025
9 PA 33. The list must include all information and documents
10 pertaining to the funded items as publicly disclosed in accordance
11 with 2025 PA 32 and 2025 PA 33.

12 (2) In accordance with section 364(4) of the management and
13 budget act, 1984 PA 431, MCL 18.1364, the department or agency
14 administering the grant shall post a report in a publicly
15 accessible location on its website beginning March 15 of the
16 current fiscal year. The department or agency shall update the
17 report and post an updated report not later than June 15 of the
18 current fiscal year and again not later than September 15 of the
19 current fiscal year. The department shall include in the report the
20 most comprehensive information the department has available at the
21 time of posting for grants awarded.

22 Sec. 228. (1) The department may expend amounts remaining from
23 the current and prior fiscal year appropriations to meet funding
24 needs of the environmental cleanup and redevelopment program,
25 environmental cleanup support, contaminated site remediation and
26 redevelopment programs, contaminated site cleanup, contaminated
27 site cleanup contingency reserve, premcors remediation activities,
28 PFAS remediation grant program, the renew Michigan program, the
29 refined petroleum product cleanup program, brownfield grants and



1 loans, waterfront grants, and the environmental bond site
2 reclamation program.

3 (2) Unexpended and unencumbered amounts remaining from
4 appropriations from the clean Michigan initiative fund - response
5 activities contained in 2011 PA 63, 2013 PA 59, 2014 PA 252, 2015
6 PA 84, 2016 PA 268, 2017 PA 107, and 2025 PA 22 are appropriated
7 for expenditure.

8 (3) Unexpended and unencumbered amounts remaining from
9 appropriations from the refined petroleum fund activities contained
10 in 2013 PA 59, 2014 PA 252, 2015 PA 84, 2016 PA 268, 2017 PA 107,
11 2018 PA 207, 2019 PA 57, 2020 PA 166, 2021 PA 87, 2022 PA 166, 2023
12 PA 119, 2024 PA 121, and 2025 PA 22 are appropriated for
13 expenditure.

14 (4) Unexpended and unencumbered amounts remaining from the
15 appropriations from the strategic water quality initiatives fund
16 contained in 2011 PA 50, 2011 PA 63, 2012 PA 200, 2013 PA 59, 2014
17 PA 252, 2015 PA 84, 2016 PA 268, 2017 PA 107, and 2018 PA 207, are
18 appropriated for expenditure.

19 (5) For the strategic water quality initiatives fund, funds
20 not yet disbursed are appropriated for expenditure for the same
21 program under sections 5201, 5202, and 5204e of the natural
22 resources and environmental protection act, 1994 PA 451, MCL
23 324.5201, 324.5202, and 324.5204e.

24 (6) Unexpended and unencumbered amounts remaining from the
25 appropriations from the renew Michigan fund contained in 2018 PA
26 207, 2019 PA 57, 2020 PA 166, 2021 PA 87, 2022 PA 166, 2023 PA 119,
27 2024 PA 121, and 2025 PA 22 are appropriated for expenditure.

28 (7) Unexpended and unencumbered amounts remaining from the
29 appropriations from the contaminated site cleanup contingency fund



1 contained in 2021 PA 87 and 2022 PA 166, are appropriated for
2 expenditure.

3 (8) Unexpended and unencumbered amounts remaining from the
4 appropriations from the cleanup and redevelopment fund contained in
5 2022 PA 166, 2023 PA 119, 2024 PA 121, and 2025 PA 22 are
6 appropriated for expenditure.

7 Sec. 229. Revenues that remain in the settlements fund at the
8 end of the fiscal year carry forward into the succeeding fiscal
9 year.

10 Sec. 230. (1) In addition to any other requirements under this
11 part, if the department is authorized under this part to expend
12 funds in addition to those appropriated in part 1, the department
13 must do all of the following:

14 (a) Not later than November 1, provide a report to the
15 chairpersons of the house and senate appropriations committees, the
16 house and senate fiscal agencies, and the state budget office that
17 details all of the following:

18 (i) The type of funding received during the previous fiscal
19 year that was authorized in part 2 of the article that made
20 appropriations for the department in the previous fiscal year.

21 (ii) When the funding was received.

22 (iii) The amount of funding received.

23 (iv) How much of the funding was spent and for what purpose or
24 purposes.

25 (b) Not later than 60 days after receipt of funds authorized
26 under this part, provide a report to the chairpersons of the house
27 and senate appropriations committees, the house and senate fiscal
28 agencies, and the state budget office that details all of the
29 following:



1 (i) The type of funding received.

2 (ii) When the funding was received.

3 (iii) The amount of funding received.

4 (iv) The anticipated or actual amount to be spent and the
5 specified purpose or purposes.

6 (c) Not later than February 15, provide a report to the
7 chairpersons of the house and senate appropriations committees, the
8 house and senate fiscal agencies, and the state budget office with
9 an estimate of funding authorized by this part that the department
10 anticipates it will receive in the subsequent fiscal year,
11 identifying all of the following:

12 (i) The type or types of funding anticipated.

13 (ii) The amount or amounts of funding anticipated.

14 (iii) The purpose or purposes of the funding.

15 (2) If another reporting requirement under this part would
16 provide substantially similar information on a substantially
17 similar time frame as would be reported under subsection (1),
18 subsection (1) does not apply.

19 Sec. 235. (1) Semiannually, the department shall prepare a
20 report that contains information regarding all remediation and
21 redevelopment efforts funded from part 1.

22 (2) The report must contain the following information:

23 (a) List of sites where work is planned to occur, including
24 the county for each site.

25 (b) The type of site, whether refined petroleum cleanup,
26 nonrefined petroleum cleanup, brownfield, or a combination of
27 types.

28 (c) A brief description of how the issue will be addressed,
29 including whether contractors will be utilized.



1 (d) The estimated date for project completion.

2 (e) The amount and funding source or sources allocated to the
3 site.

4 (3) The report must be submitted to the senate and house
5 subcommittees on the environment, Great Lakes, and energy and the
6 state budget director.

7 Sec. 238. The department shall submit a report to the senate
8 and house standing committees and appropriations subcommittees with
9 primary responsibility for issues under the jurisdiction of the
10 department that details departmental activities of the most recent
11 fiscal year in administering permitting programs. The report must
12 include, at a minimum, all of the following:

13 (a) The number of FTEs assigned to each permitting program and
14 the number of unfilled positions at the beginning and end of the
15 most recent fiscal year.

16 (b) The number of permit applications received by the
17 department in the preceding year, including applications for new
18 and increased uses and reissuances.

19 (c) The number of permits for each program approved.

20 (d) The number of permits for each program denied.

21 (e) The percentage and number of permit applications that were
22 reviewed for administrative completeness within statutory time
23 frames.

24 (f) The percentage and number of permit applications for which
25 a final action was taken by the department within statutory time
26 frames for new and increased uses and reissuances.

27 (g) Activities to reduce any backlog of permits that exceed
28 the statutory time frames and the average time frame for permit
29 approvals for each program.



1 (h) Activities to reduce the percentage of permit applications
2 submitted as incomplete, in need of modification, or additional
3 information before final determination.

4 (i) Under conditions in which the department states a permit
5 is incomplete or denied, the department shall provide an
6 explanation as to the reason or reasons the permit is insufficient
7 and how the permit can be strengthened or made complete.

8 Sec. 239. Not later than April 1, the department shall provide
9 to the standard report recipients a copy of its annual strategic
10 plan prepared in compliance with section 363 of the management and
11 budget act, 1984 PA 431, MCL 18.1363. The plan must include the
12 mission, vision, goals, strategies, and performance measures of the
13 department.

14 Sec. 240. The department shall report on any court settlement
15 that may require further legislative review of state statutory
16 programs or regulations.

17 Sec. 242. If the department responds to a significant incident
18 to protect life or property, as soon as possible and within 24
19 hours after the department responds to the significant incident,
20 the department shall notify, in writing, the senate and house
21 members whose district includes the site.

22 Sec. 246. Not later than 6 months after the state budget
23 office issues work project letters, the department shall submit an
24 annual report that summarizes all work project accounts. The report
25 must include all of the following:

26 (a) A list of all work project accounts.

27 (b) The status of all work project accounts, including amounts
28 expended, amounts encumbered, and available balances for each
29 account.



(c) The amount of funds that lapsed from any previously designated work project accounts, the name and description of the work project account, and the funds that received the lapsed amounts.

Sec. 247. Total authorized appropriations from all sources under part 1 for legacy costs for the fiscal year ending September 30, 2027 are estimated at \$19,364,100.00. From this amount, total appropriations for pension-related legacy costs for the department are estimated at \$19,364,100.00. Total appropriations for retiree health care legacy costs for the department are estimated at \$0.00.

Sec. 248. Revenues remaining in the asbestos inspection fund created in section 5519a of the natural resources and environmental protection act, 1994 PA 451, MCL 324.5519a, at the end of the fiscal year carry forward into the succeeding fiscal year.

REMEDIATION AND REDEVELOPMENT DIVISION

Sec. 301. Revenues remaining in the laboratory services fees fund at the end of the fiscal year carry forward into the succeeding fiscal year.

Sec. 302. The unexpended funds appropriated in part 1 for contaminated site remediation and redevelopment programs, emergency cleanup actions, and environmental cleanup and redevelopment program are designated as work project appropriations, and any unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditures for projects under this section until the projects have been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the projects is to provide contaminated



1 site cleanup.

2 (b) The projects will be accomplished by utilizing contracts
3 with service providers.

4 (c) The total estimated cost of all projects is identified in
5 each line-item appropriation.

6 (d) The tentative completion date is September 30, 2031.

7 Sec. 304. (1) In addition to the money appropriated in part 1,
8 the department may receive and expend money from the subaccounts of
9 the cleanup and redevelopment fund as described under section 20108
10 of the natural resources and environmental protection act, 1994 PA
11 451, MCL 324.20108, including the environmental response fund or
12 the natural resource damages fund, to provide funding for actions
13 by the department that are authorized by a court of competent
14 jurisdiction and set forth in a final court order or judgment in an
15 action to which the department is a party.

16 (2) Not later than January 30, the department shall submit a
17 report to the appropriations subcommittees, the fiscal agencies,
18 and the state budget office that provides a summary of the
19 expenditures incurred under this section during the preceding
20 fiscal year.

21
22 **WATER RESOURCES DIVISION**

23 Sec. 405. If a certified health department does not exist in a
24 city, county, or district or does not fulfill its responsibilities
25 under part 117 of the natural resources and environmental
26 protection act, 1994 PA 451, MCL 324.11701 to 324.11721, the
27 department may spend funds appropriated in part 1 for drinking
28 water and environmental health in accordance with section 11716 of
29 the natural resources and environmental protection act, 1994 PA



1 451, MCL 324.11716.

2 Sec. 410. From the funds appropriated in part 1, the
3 department shall compile a report by November 1 of every fiscal
4 year ending in an odd number on the status of the implementation
5 plan for the western Lake Erie basin collaborative agreement. In an
6 effort to learn more about the presence and timing of harmful algal
7 blooms, the report must contain all of the following:

8 (a) An estimated cost of removal of total phosphorus per pound
9 at the 4 major wastewater treatment plants.

10 (b) A description of the grants that have been awarded.

11 (c) A description of the work that has commenced on the issue
12 of dissolved reactive phosphorus, the expected objectives and
13 outcomes of that work, and a list of the parties involved in that
14 effort.

15 (d) A description of the efforts and outcomes aimed at the
16 total phosphorus reduction for the River Raisin watershed.

17
18 **UNDERGROUND STORAGE TANK AUTHORITY**

19 Sec. 701. The unexpended funds appropriated in part 1 for the
20 underground storage tank cleanup program are designated as a work
21 project appropriation, and any unencumbered or unallotted funds
22 shall not lapse at the end of the fiscal year and shall be
23 available for expenditures for projects under this section until
24 the projects have been completed. The following is in compliance
25 with section 451a of the management and budget act, 1984 PA 431,
26 MCL 18.1451a:

27 (a) The purpose of the project is to provide underground
28 storage tank cleanup.

29 (b) The project will be accomplished by utilizing contracts



with service providers.

(c) The total estimated cost of the project is \$20,000,000.00.

(d) The tentative completion date is September 30, 2031.

RENEWING MICHIGAN'S ENVIRONMENT

Sec. 801. The unexpended funds appropriated in part 1 for the renewing Michigan's environment program are designated as a work project appropriation, and any unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditures for projects under this section until the projects have been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is for environmental cleanup and redevelopment, waste management, and recycling.

(b) The project will be accomplished by utilizing state employees or contracts with service providers, or both.

(c) The total estimated cost of the project is \$70,495,800.00.

(d) The tentative completion date is September 30, 2031.

MATERIALS MANAGEMENT DIVISION

Sec. 901. In addition to the money appropriated in part 1, the department may receive and expend money from the Volkswagen Environmental Mitigation Trust Agreement to provide funding for activities as outlined within the State's Mitigation Plan. The department shall prepare a report to the appropriations subcommittees, the fiscal agencies, and the state budget office by February 1, 2027 of the expenditures incurred under this section during the fiscal year ending September 30, 2026.



WATER INFRASTRUCTURE

Sec. 951. The funds appropriated in part 1 for lead service line replacement must be used to support water infrastructure projects, including, but not limited to, lead service line replacement and associated activities, drinking water projects, wastewater management, or stormwater management to promote coordinated water infrastructure work.

ONE-TIME APPROPRIATIONS

Sec. 1001. (1) Funds appropriated in part 1 for geothermal energy network revolving loan fund must be allocated for the creation and administration of a geothermal energy network revolving loan fund to provide upfront financing for networked geothermal energy projects undertaken by local units of government and public institutions.

(2) The program must prioritize projects within low-income or disadvantaged communities.

(3) No more than 10% of the funds allocated under this section may be expended for program administration and related costs.

(4) The unexpended funds appropriated in part 1 for geothermal energy network revolving loan fund are designated as work project appropriations, and any unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditures for projects under this section until the projects have been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the projects is to provide low-interest loans for developing networked geothermal projects.



1 (b) The projects will be accomplished by utilizing contracts
2 with service providers.

3 (c) The total estimated cost of all projects is \$3,000,000.00.

4 (d) The tentative completion date is September 30, 2031.